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Dear Trader,

The Daily Fix:
A Pro-Risk US Trade Suggests Green on Screen in Asia

A positive pro-risk day for markets – tech, and notably software, continues to see short positioning pared back, high beta equities outperform, the VIX trades 0.4 vols lower at 17.4% and below the 12-month average, and pro-cyclical G10 FX (AUD, SEK) continue to be favoured expressions versus the USD, alongside solid rallies in gold, silver and copper. On the US equity side, the S&P 500 closed +0.5%, hitting a high of 6980 before the buying pressure eased and the index drifted gently lower into the close.

It is also impressive that the S&P 500 and NAS100 carved out gains on the day when Alphabet set the credit markets alight with its upsized $20b corporate bond issuance, drawing over $103b in investor bids for the seven-part deal, potentially sucking some capital allocation away from cash equities. This could explain the light volumes in US cash equities, but the sheer extent of investor demand seems to have alleviated some concerns around the funding of capex intentions. It may not surprise that the main contributors to S&P 500 index gains came from Nvidia, Microsoft and Meta, while Oracle rallied 9.6%, allowing index appreciation despite fairly uninspiring breadth, with 53% of S&P 500 companies closing in the green.

Whether the market is reassessing its positioning in value areas of the equity market and now seeing software as more than a short-term trade, and whether investors are pushing back into core AI winners, remains to be seen. Traders continue to watch the high-growth tech plays within the TOPIX, Kospi and TAIEX.

Our USD client flows have picked up, with comments from NEC Director Kevin Hassett that the US labour force will slow in the coming months, which will result in softer monthly job gains, saw US 2-year Treasury yields trade slightly lower, while the DXY bled lower through trade from 97.60 to 96.79, with intraday rallies failing to gain traction. A return to 96.00 could well be on the cards, with the building momentum suggesting that to be the risk. That would likely require EURUSD to push back towards 1.2050 and USDJPY towards 154.00. With the market on edge for an uninspiring US nonfarm payrolls print tomorrow, further USD downside would likely require NFP to print below 30k and the unemployment rate to tick up to 4.5%.

Ongoing strength in the Chinese yuan appears to be a central factor driving broader USD selling flows, with the PBoC shifting away from a stable exchange rate to one more tolerant of a stronger CNY. Granted, the CNY is fundamentally cheap, but allowing a trending USDCNY (CNH) is offering tailwinds to pro-cyclical FX and China proxies. The AUD remains the clear favoured China expression, with AUDUSD in beast mode and eyeing a break of 0.7100. It is not just a weaker USDCNH, but relative interest rate differentials and a rejuvenation of the commodity trade that are also providing support.

The AUD has been trending strongly against a number of FX crosses and remains the standout G10 currency in 2026. A new development is AUDNZD coming into focus, with the cross breaking above 1.1700 to new cycle highs, the best levels since 2013. While it may take time before a stronger AUD meaningfully impacts inflation, local importers are likely welcoming these developments.

Good luck to all.

Chris Weston

Trade the opportunity

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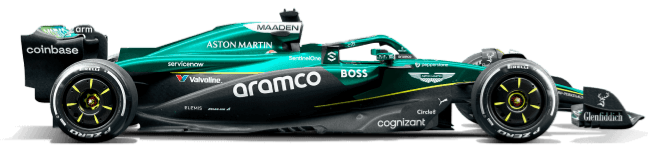

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